CASCADIA ANALYTICS

Viavi Solutions Inc.

Equity Research Note | VIAV | 22
OCTOBER 2026

AI Test Equipment Turnaround

Viavi Solutions screens as a Hold, Valuation Concerns with a $19.37 blended target, 36% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$30.30	$19.37	-36%	HOLD, VALUATION CONCERNS

Investment Thesis

AI Test Equipment Turnaround. Q4 FY26 revenue +52.5% YoY to $443.1M, non-GAAP EPS $0.34 (beat). NSE +69% on AI data center test demand; data center is ~50% of NSE revenue. FY26 non-GAAP operating margin expanded 630bps to 20.6% [8-K Q4 FY26]. Spirent Diversification. The Spirent acquisition adds high-speed Ethernet testing, network security, and channel emulation, reducing dependence on telecom carrier capex and opening cross-sell into AI clusters [8-K Q4 FY26]. Reasonable Valuation. At $30.30 [Mkt 16-Oct-26], our

- AI Test Equipment Turnaround
- Spirent Diversification
- Reasonable Valuation

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The latest print

Spirent Diversification. The Spirent acquisition adds high-speed Ethernet testing, network security, and channel emulation, reducing dependence on telecom carrier capex and opening cross-sell into AI clusters.

Reasonable Valuation. At $30.30, our $19.60 DCF base implies 35% upside. NTM P/E 17.1x is fair for 20%+ growth. The turnaround is working; the price has not run ahead of it.

$443.1M	$0.34	24.0%	$450-460M	$1.52B	$1.00
REVENUE (Q4 FY26)	EPS (Q4 FY26, NON-GAAP)	NON-GAAP OP MARGIN (Q4)	Q1 FY27 REVENUE GUIDE	REVENUE (FY26)	EPS (FY26, NON-GAAP)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q4 FY26)	$443.1M	+52.5%	Up
EPS (Q4 FY26, non-GAAP)	$0.34	+161.5%	Up
Non-GAAP Op Margin (Q4)	24.0%	+9.6 pts	Up
Q1 FY27 Revenue Guide	$450-460M	n/a	Up
Revenue (FY26)	$1.52B	+40.0%	Up
EPS (FY26, non-GAAP)	$1.00	+112.8%	Up
Non-GAAP Op Margin (FY26)	20.6%	+6.3 pts	Up

The moat

AI data center test demand: NSE +69% YoY, data center ~50% of NSE revenue

The growth engine

Spirent acquisition: high-speed Ethernet testing, network security, channel emulation

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 FCF MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	$2.23B	8.0%	**$9.12**	-70%
Base	50%	16.0%	$3.19B	11.0%	**$19.60**	-35%
Bull	25%	20.0%	$3.78B	14.0%	**$29.16**	-4%

Bear: downside case at $9.12 (-70%).

Base: central case at $19.60 (-35%).

Bull: upside case at $29.16 (-4%).

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The probability-blended target implies 36% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -36% from the $30.30 reference price.

$19.37
BLENDED TARGET

The valuation is a five-year unlevered free cash flow DCF (FY2027-2031). This model works at the free-cash-flow line directly: projected revenue is converted to unlevered free cash flow at a scenario FCF margin, with no separate EBIT bridge, and the flows are discounted at a weighted WACC of 9.12%. The discount rate was corrected in the 2026-10-22 forensic audit: earlier builds discounted the unlevered flows at the CAPM cost of equity alone. The rate is now the workbook's weighted build, the live CAPM cost of equity (10-year Treasury plus a 1.21 beta times the market-implied equity risk premium) blended with an after-tax cost of debt (10-year plus 150 basis points, taxed at 21%) at market-value weights. The beta is static, so the terminal WACC equals the 9.12% live WACC and the terminal beta is 1.21; both are displayed on the scenario tabs.

The FCF margin ladder was also corrected in the same audit. Viavi's filed free cash flow margin (operating cash flow less capex, per its 10-Ks) ran 8.3% in FY2019, 9.1% in FY2020, a peak of 15.9% in FY2021, 8.2% in FY2022, 5.7% in FY2023, 9.7% in FY2024, 5.7% in FY2025 and 5.5% in FY2026, an eight-year median of 8.3%. The prior ladder of 18% / 25% / 28% sat at 3.3 to 5.2 times the FY2026 filed rate with no supporting bridge, and the Base figure exceeded even the peak-quarter non-GAAP operating margin. The corrected ladder anchors Bear at the filed median (8%), Base above the median but below the FY2021 filed peak (11%), and Bull just below that peak (14%) and below Keysight's current FCF margin of roughly 24%. We set the rungs from the filed record and the peer evidence, not from any target: the correction lowers the Base target to $19.60, and the rating follows the corrected math.

Revenue base (2026E)	**$1.52B**
Valuation horizon	**2026-2030**
Live WACC	**9.12%**
Terminal growth	**2.0% / 3.0% / 3.0%**
Net cash	**$6.0M**
2030 FCF (Base)	**$351M**
10-year Treasury yield	**5.0%**
Beta	**1.21**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $19.37 BLENDED TARGET | WEN

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The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 27.4%, at/above Bull (20%) , euphoric.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$1.6B	$6.35	+10%	$3.8B	$15.37	+30%	$8.2B	$33.31
-9%	$1.6B	$6.66	+11%	$3.9B	$16.02	+31%	$8.5B	$34.53
-8%	$1.7B	$6.97	+12%	$4.1B	$16.69	+32%	$8.8B	$35.79
-7%	$1.8B	$7.31	+13%	$4.3B	$17.38	+33%	$9.1B	$37.09
-6%	$1.9B	$7.65	+14%	$4.5B	$18.09	+34%	$9.5B	$38.43
-5%	$2.0B	$8.01	+15%	$4.6B	$18.83	+35%	$9.8B	$39.80
-4%	$2.1B	$8.38	+16%	$4.8B	$19.60	+36%	$10.2B	$41.21
-3%	$2.2B	$8.77	+17%	$5.0B	$20.39	+37%	$10.5B	$42.67
-2%	$2.3B	$9.17	+18%	$5.2B	$21.21	+38%	$10.9B	$44.17
-1%	$2.4B	$9.59	+19%	$5.4B	$22.05	+39%	$11.3B	$45.71
+0%	$2.5B	$10.03	+20%	$5.6B	$22.92	+40%	$11.7B	$47.29
+1%	$2.6B	$10.48	+21%	$5.9B	$23.82	+41%	$12.1B	$48.92
+2%	$2.7B	$10.95	+22%	$6.1B	$24.75	+42%	$12.5B	$50.59
+3%	$2.8B	$11.43	+23%	$6.3B	$25.71	+43%	$12.9B	$52.31
+4%	$2.9B	$11.94	+24%	$6.6B	$26.70	+44%	$13.3B	$54.08
+5%	$3.1B	$12.46	+25%	$6.8B	$27.72	+45%	$13.8B	$55.90
+6%	$3.2B	$13.00	+26%	$7.1B	$28.77	+46%	$14.2B	$57.76
+7%	$3.3B	$13.56	**+27%**	**$7.4B**	**$29.85**	+47%	$14.7B	$59.68
+8%	$3.5B	$14.14	+28%	$7.6B	$30.97	+48%	$15.2B	$61.65
+9%	$3.6B	$14.75	+29%	$7.9B	$32.12			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$2.24B	—	2.0%	$6.0M	$2.25B	**$9.12**
Base	$4.83B	—	3.0%	$6.0M	$4.84B	**$19.60**
Bull	$7.19B	—	3.0%	$6.0M	$7.20B	**$29.16**

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 79.1% of Base enterprise value (Bear 73.7%, Bull 80.1%). The terminal WACC is 9.12% in Base (Bear 9.12%, Bull 9.12%), on a terminal beta of 1.21 (Bear 1.21, Bull 1.21).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$9.12	$9.95	$10.28	$10.59	$10.88	$11.14
Base	$19.60	$21.39	$22.48	$23.54	$24.53	$25.43
Bull	$29.16	$31.82	$33.59	$35.30	$36.89	$38.31

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $19.37 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

AI data center test demand: NSE +69% YoY, data center ~50% of NSE revenue

Spirent acquisition: high-speed Ethernet testing, network security, channel emulation

Aerospace & defense: positioning, navigation, timing solutions growing

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	FY26
Revenue	$1.26B	$1.11B	$1.00B	$1.08B	$1.52B
Gross Margin	58.9%	57.1%	56.8%	57.3%	57.7%
Non-GAAP Op Margin	16.2%	13.8%	12.1%	14.3%	20.6%

Valuation cross-check

NTM P/E 17.1x

DCF Base $19.60 vs $30.30 spot

PEG 1.34

DCF implies ~35% upside. Multiple is fair for the growth profile.

Test equipment peers 15-25x NTM P/E

In line with peers on earnings; cheaper on growth-adjusted basis.

Trading above historical multiples on the turnaround

Re-rating is justified by the mix shift, but the easy money is made.

What to monitor

Nov 2026. Q1 FY27 Earnings: $450-460M revenue guide vs consensus. Spirent synergy proof point.

2027. Spirent cross-selling and 1.6T/co-packaged optics test demand.

2027. Continued data center mix shift toward 50%+ of NSE revenue.

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2023	$1.1B	$639M	$94M	$155M
2024	$1.0B	$576M	$34M	$99M
2025	$1.1B	$621M	$58M	$129M
2026	$1.5B	$875M	$121M	$168M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2023	$1.9B	$1.2B	$691M	$506M
2024	$1.7B	$1.1B	$682M	$471M
2025	$2.0B	$1.2B	$780M	$424M
2026	$2.7B	$1.3B	$1.4B	$648M

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2023	$114M	$-51M	$-50M	$63M
2024	$116M	$-20M	$-126M	$97M
2025	$90M	$-28M	$-24M	$62M
2026	$114M	$-31M	$541M	$83M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $19.37 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Viavi Solutions Inc. valuation framework

Agency risk score 48 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 1.20% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $34.92M of sales, a net flow of -$34.92M. One-year total shareholder return is +163.7% against CEO total pay of $2.20M (Mr. Oleg Khaykin), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	1.20% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $34.92M (15), net -$34.92M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +163.7%; Mr. Oleg Khaykin, President, CEO & Director, total pay $2.20M
Agency Risk Score	**48 / 100**	Regime: BALANCED / TYPICAL CORPORATE

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-09-23	Scrivanich Luke Matthew	Officer	SELL	35,866	$1.30M
2026-09-11	Mcnab Paul A	Officer	SELL	11,032	$429.9K
2026-08-31	Scrivanich Luke Matthew	Officer	SELL	23,911	$869.6K
2026-08-31	Daskal Ilan	Chief Financial Officer	SELL	56,290	$2.04M
2026-08-17	Black Laura A	Director	SELL	71,000	$3.27M
2026-08-14	Solomon Joanne	Director	SELL	10,000	$429.2K
2026-08-10	Mcnab Paul A	Officer	SELL	1,595	$59.6K
2026-05-08	Khaykin Oleg	Chief Executive Officer	SELL	259,880	$13.42M

SEC proxy audit, DEF 14A filed 2026-10-02

Alignment grade B. VOLUNTARY PAY CUT (-13.6%). Oleg Khaykin, fiscal 2026 vs fiscal 2025; total compensation change year on year: -13.6%.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
$1,000,000	$295,437	$0	$0

CEO compensation fell by roughly 14% due to lower incentive payouts tied to performance metrics. The compensation committee’s decision aligns with TSR goals, but the modest pay cut may not fully reflect the company’s performance shortfalls.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/912093/000162828026064524/viav-20261002.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

Earnings Quality

GAAP earnings remain depressed by amortization and restructuring; the non-GAAP story must eventually convert to cash.

Telecom Drag

Legacy telecom carrier spending is structurally weak and drags on the core NSE business.

Integration Risk

Spirent integration missteps would undermine the growth thesis and the multiple.

The strengths

Operating Quality

Turnaround in progress: Spirent diversifies into data center and A&D, but GAAP profitability is thin and the non-GAAP gap (amortization, restructuring) is wide. ROIC is below average.

Recent Trend

FY26 revenue +40%, non-GAAP EPS +113%, operating margin +630bps. Q4 beat on both lines. The operational momentum is undeniable.

Forward Growth

Data center test demand (800G/1.6T), Spirent cross-sell, A&D positioning solutions. Q1 FY27 guide implies continued sequential growth. Consensus sees +23.5% FY27 revenue.

Valuation

At $30.30 vs $19.60 DCF base, the stock offers ~35% upside. NTM P/E 17.1x and PEG 1.34 are reasonable for the growth rate. Not cheap, not stretched.

Cascadia scorecard

Composite score 70: Attractive. Confidence High, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Turnaround in progress: Spirent diversifies into data center and A&D, but GAAP profitability is thin and the non-GAAP gap (amortization, restructuring) is wide. ROIC is below average.	60
Recent Trend	FY26 revenue +40%, non-GAAP EPS +113%, operating margin +630bps. Q4 beat on both lines. The operational momentum is undeniable.	85
Forward Growth	Data center test demand (800G/1.6T), Spirent cross-sell, A&D positioning solutions. Q1 FY27 guide implies continued sequential growth. Consensus sees +23.5% FY27 revenue.	80
Valuation	At $30.30 vs $19.60 DCF base, the stock offers ~35% upside. NTM P/E 17.1x and PEG 1.34 are reasonable for the growth rate. Not cheap, not stretched.	60
Catalysts & Risk	Q1 FY27 earnings test the guidance. Spirent integration execution is key. Legacy telecom spending remains structurally weak. Stock +196% in a year invites profit-taking.	70

Investment view

A Q1 FY27 miss would cut Trend and Growth. Sustained 20%+ growth with GAAP earnings conversion supports a higher multiple.

Investment view: Hold, Valuation Concerns. The $19.37 blended target implies -36%, balancing the $9.12 / $19.60 / $29.16 Bear / Base / Bull outcomes.

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